

1H26 profit alert: solid fundamentals against LLM concerns

Quick Note

1H26 profit alert: top-line growth accelerated, with continued improvement in profitability

Kingdee announced a 1H26E profit alert yesterday (7 July) after market close, with revenue ranging from CNY3,608-3,639mn (+13-14% y-y), thanks to continued growth in subscription revenue and strong growth in AI-native products, according to management. Management expects 1H26E earnings to be CNY40-60mn vs a loss of CNY98mn in 1H25, primarily attributable to the economies of scale of the subscription business and efficiency improvements driven by AI. Net cash inflow from operating activities is expected to be CNY130-150mn vs net outflow of CNY18mn in 1H25, reflecting better operating efficiency and subscription business model, in our view. We maintain our Buy rating and DCF-based TP of HKD18.49, implying an 8.7x FY26F P/S ratio.

Solid business performance to shrug off concerns of LLM disruptions

We think Kingdee's core cloud ERP business remains resilient, which would contribute to sustainable top-line growth. Despite market concerns about LLM (large language models) companies disrupting their core business, Kingdee's AI solutions will gradually drive an acceleration in top-line growth and better profitability, in our view. Although the LLM headwinds might linger in the near term, we think Kingdee is on track to become an "AI native" company, with the ability to leverage generative AI technologies for more sustainable growth.

Rating Remains	Buy
Target price Remains	HKD 18.49
Closing price 7 July 2026	HKD 6.34

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Kingdee	268 HK	HKD 6.34	07-Jul-2026	Buy	N/A	

Kingdee (268 HK)

HKD 6.34 (07-Jul-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We use DCF valuation to arrive at our TP of HKD18.49. Our DCF valuation assumes a WACC of 11.1%, market risk premium of 7% and a terminal growth rate of 4%, with cash flows discounted back to end-2024F. The benchmark for this stock is the Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks include: 1) slower-than-expected cloud revenue growth; 2) the company being unable to turnaround its cloud business due to competition or additional R&D investments; and 3) intense competition in the next generation of cloud platforms from incumbent ERP players.

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